

custom or public demand forces each competitive company to spend money on so-called assets which in no sense increase the volume of business, but which would cause a loss of business if the expenditure had not been made. A retail store installing an expensive air conditioning system is a classic example of this sort of thing. After each competitive store has installed such equipment, no net increase in business will occur, yet any store which had not met the competitive move might find very few customers on a hot summer day. Since for some strange reason our accepted accounting system and the tax laws which are based on it make no differentiation between "assets" of this type and those which have actually increased the value of the business, the stock-holder frequently thinks that he has been badly treated when earnings have not been passed out to him and yet he can see no increase in value coming to him from what was retained in the business.

The other and even more important way that retained earnings fail to produce increased profits results from an even more serious failure of our accepted accounting methods. In our world of rapid and major changes in the purchasing value of our money units, standard accounting proceeds as though the dollar were a fixed unit of value. Accountants say this is all accounting is supposed to do. This may very well be true; but if a balance sheet is supposed to have any relationship to the real values of the assets described thereon, the confusion that results seems about parallel to what would happen if engineers and scientists made their calculations in our three dimensional world by using only two dimensional plane geometry.

The depreciation allowance in theory should be enough to replace an existing asset when that asset is no longer economically usable. If the depreciation rate were properly calculated and the replacement cost of the asset remained unchanged over its useful life, this would happen. But with ever rising costs, the total accumulated depreciation is seldom enough to replace the outmoded asset. Therefore, additional sums must be retained from the earnings merely to make up the difference if the corporation is to continue to have what it had before.

This type of thing, while affecting all investors, usually affects holders of growth companies less than any other class. This is because the rate of acquiring new capital assets (as against merely replacing existing and about-to-be-retired assets) is usually so fast that more of the depreciation is on recently acquired assets installed at somewhere near today's values. A